

UNIT -2

TRADE MARKS

A **trademark** (also written **trade mark** or **trade-mark**) is a form of intellectual property that consists of a word, phrase, symbol, design, or a combination that identifies a product or service from a particular source and distinguishes it from others.

It represents a brand's identity and helps customers recognize products or services in the market.

Key Points about Trade Marks:

1. Purpose – Protects brand names, logos, and symbols from being copied by competitors.
2. Types – Can include words, logos, taglines, shapes, colors, sounds, or even smell (in rare cases).
3. Legal Protection – Once registered, the owner gets exclusive rights to use the mark and can take legal action against misuse or infringement.
4. Validity – Trademarks are usually registered for a specific period (commonly 10 years) and can be renewed indefinitely.

Example: The Nike “swoosh” logo and the word “Coca-Cola” are both trademarks.

PURPOSE AND FUNCTIONS OF TRADE MARKS:

PURPOSE OF TRADE MARK:

1. Brand Identity & Recognition:

- A trade mark helps consumers easily identify the source of goods or services.
- It distinguishes one brand from another in a crowded marketplace.

2. Legal Protection:

- Registration provides exclusive rights to use the mark and legal remedies against infringement or misuse.

3. Consumer Protection:

- Assures customers about the origin, quality, and authenticity of products.
- Prevents confusion or deception caused by imitation.

4. Business Asset & Value Creation

- Trademarks are valuable intangible assets that can be licensed, franchised, or sold.

- They enhance goodwill and brand value of a business.

5. Marketing & Advertising Tool

- A memorable trade mark supports effective advertising and promotion.
- It helps in creating brand loyalty among consumers.

FUNCTIONS OF TRADE MARKS

1. Identification Function -Helps in identifying the source or origin of goods and services.
2. Distinguishing Function -Differentiates one company's products from those of competitors.
3. Guarantee of Quality -Serves as a symbol of consistent quality, giving customer's confidence in the product/service.
4. Advertising Function- Plays a vital role in marketing campaigns and brand communication.
5. Legal Function - Provides the owner with statutory rights to sue against infringement, counterfeiting, or misuse.
6. Economic Function- Increases the commercial value of the business, making it an important intellectual property asset.

ACQUISITION OF TRADE MARK RIGHTS

Trade mark rights can be acquired mainly in two ways:

1. By Use (Common Law Rights)

- Simply using a trade mark in business gives the owner certain rights, even without registration.
- These rights are based on priority of use (the first person to use the mark in trade generally has a stronger claim).
- Such rights are protected under the principle of 'passing off' (preventing others from misrepresenting their goods/services as those of the original user).
- However, protection is limited to the geographical area where the mark is actually used.

2. By Registration (Statutory Rights)

- The most secure way to acquire trade mark rights is by registering it under the Trade Marks Act (e.g., in India under the Trade Marks Act, 1999).
- Registration gives the owner exclusive rights over the mark across the country, regardless of the extent of actual use.
- Once registered, the owner can use the ® symbol.
- Registration also enables legal action against infringement.

STEPS IN ACQUIRING A REGISTERED TRADE MARK

1. Search & Selection – Ensure the trade mark is unique and not already in use.
2. Application Filing – Apply with the Trade Marks Registry.
3. Examination – Registrar examines the application for compliance and conflicts.
4. Publication – The mark is published in the Trade Marks Journal for objections.
5. Opposition (if any) – Third parties may oppose the registration.
6. Registration – If no opposition or once resolved, the mark gets registered.
7. Certificate of Registration – Issued to the applicant, giving full legal right

Duration

- Trade mark rights last for 10 years from the date of registration.
- They can be renewed indefinitely for further 10-year periods with renewal fees.

In summary: Trade mark rights are acquired either by use (common law rights) or by registration (statutory rights), with registration providing stronger and wider protection.

“PROTECTABLE MATTER” UNDER TRADE MARK LAW.

This means: What kinds of signs, symbols, or elements can be legally protected as a trade mark?

Protectable Matter in Trade Marks - A trade mark can be any sign capable of distinguishing goods or services of one person from another. The following can be protected:

1. Words and Names

- Brand names (e.g., Nike, Tata, Infosys)
- Invented words or coined terms (Xerox, Google)
- Personal names or signatures (if distinctive)

2. Letters, Numbers, and Symbols

- Single letters or combinations (e.g., IBM, HP)
- Numeric marks (e.g., 501 jeans)

3. Logos and Devices

- Graphic logos, symbols, emblems, or monograms (e.g., Apple logo, Mercedes star)

4. Slogans and Taglines

- Catchphrases associated with brands (e.g., “Just Do It”)

5. Shapes of Goods / Packaging (Trade Dress)

- Unique product shapes or packaging that identify origin (e.g., Coca-Cola bottle shape)

6. Colors

- Specific colors associated with brands, if distinctive (e.g., Cadbury purple, Tiffany blue)

7. Sounds

- Sound marks like jingles, tunes, or musical notes (e.g., Nokia ringtone, MGM lion's roar)

8. Smell / Taste (in rare cases)

- Non-traditional marks like fragrances or flavors, if they can be clearly represented and are distinctive.

NON-PROTECTABLE MATTER

Certain things cannot be protected, such as:

- Generic terms ("Milk" for dairy products)
- Descriptive terms ("Sweet" for sugar)
- Marks contrary to law, morality, or public order
- Deceptive or misleading marks
- National symbols, flags, or emblems (restricted by law)

In short: Protectable matter includes names, words, logos, shapes, colors, sounds, and other distinctive signs that can identify the source of goods/services and are not generic or deceptive.

SELECTING AND EVALUATING TRADE MARKS

Selecting a Trade Mark-When choosing a trade mark, businesses should keep these principles in mind:

1. Distinctiveness

- The mark must be unique and easily distinguishable.
- Coined or invented words (e.g., Kodak, Xerox) are best.

2. Non-Descriptive - Should not directly describe the goods/services (e.g., "Cold" for ice cream cannot be registered).

3. Legality - Should not use prohibited symbols, national flags, religious symbols, or offensive words.

4. Easy to Remember & Pronounce - A good mark should be simple, catchy, and appealing to customers.

5. Future Expansion - It should not restrict the brand to one product line; it must allow flexibility for new products/services.

6. Check for Conflicts - Before adoption, conduct a trade mark search to ensure no similar or identical marks exist.

Evaluating a Trade Mark: Once selected, a trade mark should be evaluated on:

1. Legal Protection

- Can the mark be registered under trade mark law?
- Is it strong enough to prevent infringement?

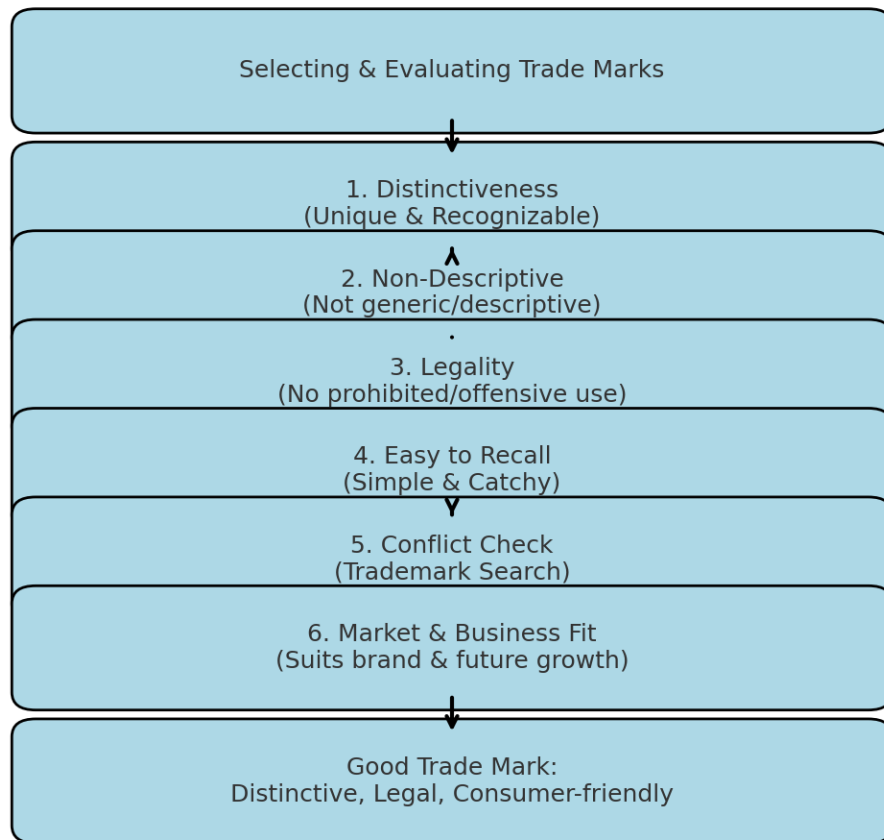
2. Market Acceptance

- Does it appeal to target consumers?
- Is it culturally appropriate in different regions?

3. Business Relevance - Does it align with the company's values, products, and long-term vision?

4. Strength of the Mark (Hierarchy of strength)

- Fanciful/Coined Marks (strongest) → Xerox, Google
- Arbitrary Marks → Common words used in unrelated context (Apple for computers)
- Suggestive Marks → Indirectly suggest qualities (Netflix)
- Descriptive Marks (weak, unless secondary meaning develops) → Cold & Creamy
- Generic Terms (not protectable) → Soap for soap



TRADE MARK REGISTRATION PROCESS

1. Trade Mark Search

- Before applying, the applicant must search the Trade Marks Registry database.
- Purpose: To check if a similar or identical trade mark already exists.
- Avoids future objections and legal conflicts.

2. Filing of Application

Application is filed with the Registrar of Trade Marks (offline or online).

Information required:

- Applicant's details (individual/company/firm)
- Representation of the mark (word/logo/symbol)
- Goods/Services category (based on NICE Classification – 45 classes)
- Priority claim (if filed earlier in another country)
- After filing, the mark gets a "TM" symbol

3. Examination by the Registrar

The Registrar examines the application to ensure it complies with the law.

Grounds of examination:

- Absolute grounds (e.g., not descriptive, generic, or deceptive).
- Relative grounds (e.g., not identical or confusingly similar to existing marks).

If objections arise, an Examination Report is issued. The applicant can reply or attend a hearing.

4. Publication in Trade Marks Journal

- If accepted, the mark is published in the Trade Marks Journal
- Purpose: To invite opposition from third parties within 4 months of publication.

5. Opposition Proceeding

- If a third party opposes, both parties present evidence and arguments.
- Registrar decides whether to accept or reject the application.

6. Registration

- If no opposition, or if opposition is decided in favor of the applicant, the trade mark is registered.
- The applicant receives a Certificate of Registration.
- The owner can now use the symbol.

7. Validity and Renewal

- Registration is valid for 10 years from the date of application.
- It can be renewed indefinitely every 10 years by paying renewal fees.

In short: Trade mark registration is a legal process to secure exclusive rights, beginning with a search and ending with a renewable certificate of protection.

TYPES OF TRADE MARKS

Trademarks are classified into different types based on their nature and use. Here's a detailed explanation

1. Product Mark

- Used on goods or physical products.
- Helps identify the origin of goods.
- Example: **Nike (shoes), Coca-Cola (drinks)**

2. Service Mark

- Used for services instead of physical goods.
- Distinguishes services of one provider from another.
- Example: Airtel, MakeMyTrip, FedEx

3. Collective Mark

- Owned by an association/organization and used by its members.
- Indicates membership in a group and standard quality.
- Example: CA (Chartered Accountants logo), FPO (Fruit Products Order)

4. Certification Mark

- Certifies that a product/service meets certain standards (quality, origin, material, etc.).
- Example: ISI mark, Agmark, Woolmark

5. Well-Known Trade Mark

- A mark widely recognized by the public and enjoys protection even if not registered in all categories.
- Example: Apple, Google, Mercedes

6. Shape Mark (Trade Dress)

- Protects the unique shape of a product or packaging.
- Example: Coca-Cola bottle shape, Toblerone chocolate shape

7. Sound Mark

- A tune, musical note, or sound uniquely identifying a brand.
- Example: **Nokia ringtone, Intel inside jingle*

8. Color Mark

- A specific color associated with a brand, if distinctive.
- Example: Cadbury purple, Tiffany blue

9. Pattern Mark

- Specific patterns used to identify goods/services.
- Example: Louis Vuitton monogram pattern

10. Smell/Taste Mark (Non-Traditional)

- Rare type where a fragrance or flavor uniquely identifies the product.
- Example: Certain perfumes or flavored medicines (though difficult to register).